

2013 SCC OnLine All 12387

(BEFORE ASHOK BHUSHAN AND VIPIN SINHA, JJ.)

M/S Shri Radhey Iron (Pvt.) Ltd. Petitioner

v.

State of U.P. And 2 Others Respondents

Counsel for Petitioner:- Bidhan Chandra Rai

Counsel for Respondent:- C.S.C., Nripendra Mishra

Writ - C No. - 64376 of 2013

Decided on December 17, 2013

Hon'ble Ashok Bhushan, J.

Hon'ble Vipin Sinha, J.

(Per Hon'ble Ashok Bhushan, J.)

Heard Sri. B.C. Rai, learned counsel for the petitioner and Sri. Nripendra Misra, learned counsel appearing for the respondents no. 2 and 3.

By this writ petition, the petitioner has prayed for a writ of mandamus directing the respondents to adjust the electricity duty exemption from October, 2011 to May 2013 against the electricity bill dated 2.11.2013.

Counter affidavit and rejoinder affidavit having been exchanged between the parties, with the consent of learned counsel for the parties, the writ petition is being finally decided.

Brief facts of the case as emerged from pleadings of the parties are; the State in furtherance of an industrial policy namely; Industrial and Service Sector Investment Policy, 2004, issued a notification dated 21.1.2010 providing for exemption from payment of electricity duty for a period of ten years to a new unit. The notification has been issued in exercise of powers under subsection (4) of Section 3 of the U.P. Electricity Duty Act, 1952.

The petitioner took steps for setting up new industrial unit for manufacture of mild steel ingots. The petitioner applied for power connection which was sanctioned by order dated 1.4.2011. The electricity supply agreement was entered on 30.8.2011 and by sealing certificate dated 9.10.2011, power supply was released. The respondent no. 3 raised electricity bill from October, 2011 but electricity duty exemption was not allowed as was required by notification dated

21.1.2010. The petitioner represented the matter claiming exemption from payment of electricity duty as per the notification dated 21.1.2010. The respondents accepted the claim and started allowing exemption from payment of electricity duty w.e.f. June, 2013. In the bills issued from the month of June, 2013 exemption from payment of electricity duty was allowed. The petitioner represented to the authorities that it being a new unit, is entitled for the benefit of the notification dated 21.1.2010 and exemption from payment of electricity duty w.e.f. October, 2011. The State Government has already issued a Government Order on 7.4.2011 that benefit of exemption shall be allowable from 21.1.2010. Circular has also been issued by the Chief Engineer to implement the said notification. Letter dated 24.1.2012 has been annexed to the writ petition as Annexure-16, which directs for grant of exemption after verifying the date of establishment of industry and date of grant of electricity connection. The Executive Engineer issued the order dated 1.6.2013, providing that exemption from payment of electricity duty shall be available to the petitioner for a period of 10 years i.e. till 8.9.2021. The benefit of exemption from payment of electricity duty has been provided from the date of release of power supply i.e. 9.10.2011. The petitioner received the electricity bill dated 2.11.2011 for the month of October, 2013 amounting to Rs. 52,93,258.00. The petitioner had already submitted an application on 10.7.2013 to the Executive Engineer informing that although they were entitled for exemption of 100% electricity duty from 9.10.2011 but they have been granted rebate only from the month of June, 2013. The details of month-wise electricity duty realised from the petitioner from October, 2011 to May, 2013 totalling Rs. 66,81,007/- was informed to the Executive Engineer by the aforesaid letter. The Superintending Engineer also vide letter dated 12.11.2013 wrote to the Executive Engineer to take action as per letter dated 10.7.2013 received from the petitioner. The petitioner again submitted a letter dated 14.11.2013 to the Executive Engineer praying that the electricity bill for the month of October, 2013 be adjusted from the pending electricity duty claim of the petitioner and balance be adjusted in the bill of November, 2013. The Executive Engineer issued the order dated 16.11.2013, accepting the claim of petitioner for adjustment of electricity duty amounting to Rs. 66,81,010. However, the Executive Engineer directed that adjustment shall be made beginning from the Bill of October, 2013 to July, 2014. The petitioner's claim for adjustment of electricity duty already realised from the petitioner was not accepted and the electricity of the petitioner was disconnected on 23.11.2013.

The petitioner has filed the present writ petition seeking direction to adjust the electricity duty already realised from the petitioner against

the bill dated 2.11.2013.

Learned Counsel for the petitioner submitted that the claim of the petitioner for exemption from payment of electricity duty having been accepted w.e.f. 9.10.2011 for a period of ten years, the electricity duty realised from the petitioner up to month of May, 2013 was liable to be adjusted and inspite of the request made by the petitioner, the said amount has not been adjusted and the electricity supply of the petitioner has been disconnected for non-payment of bill dated 2.11.2013. The petitioner's case is that the petitioner having been held to be entitled for exemption of electricity duty from October, 2011, the realisation of electricity duty up to May, 2013 was clearly unauthorised and the amount of electricity duty already realised from the petitioner, which is already retained with the respondents, has to be adjusted. The action of the respondents in not adjusting the same amount from the bill dated 2.11.2013 is wholly illegal and unauthorised. It is further submitted that the respondents having already admitted that electricity duty has been realised from the petitioner to the extent of Rs. 66,81,010/-, non adjustment of the said excess amount already realised, in the bill dated 2.11.2013 is arbitrary and unreasonable.

Sri. Nripendra Misra, learned counsel for the respondents submitted that it is for the respondents to adjust the payment received from the petitioner and the respondents having already decided to adjust the excess electricity duty realised from the petitioner from the month of October, 2013 to July, 2014, the petitioner can have no objection to the mode and manner of adjustment. He relied on clause 6.12 of the U.P. Electricity Supply Code 2005. Sri. Nripendra Misra submits that the certificate that the petitioner was a new unit and production started from 11.10.2011 was given by the District Industries Centre only on 3.5.2013, thereafter steps for exemption from payment of electricity duty has been taken.

We have considered the submissions of learned Counsel for the parties and have perused the record.

There is no dispute between the parties that the petitioner is a new unit having been established after issuance of exemption notification dated 21.1.2010 and is entitled for exemption from payment of electricity duty for a period of ten years from the date of establishment. The respondents have already decided to grant exemption from payment of electricity duty w.e.f. 9.10.2011, the realisation of electricity duty from the petitioner w.e.f. October, 2011 to May, 2013 is an excess payment received by the respondents from the petitioner, which requires to be adjusted. There is also no dispute between the parties that total electricity duty realised from the petitioner from October, 2011 to May,

2013 is Rs. 66,81,010. Thus, it is clearly established that the respondents have realised the electricity duty to the tune of Rs. 66,81,010/- with regard to which the petitioner is covered by exemption notification dated 21.1.2010. The respondents also did not dispute that the said payment of electricity duty is to be adjusted. The issue between the parties is only of the manner of adjustment. The petitioner had been requesting for adjustment of the said duty in electricity bill and in this regard written representation was submitted by the petitioner on 10.7.2013. When the petitioner received the bill dated 2.11.2013 for an amount of Rs. 52,93,258.00, the petitioner made a request to the respondents on 14.11.2013 which was received on 16.11.2013, stating that the bill dated 2.11.2013 be adjusted towards electricity duty already realised from the petitioner to the extent of Rs. 66,81,010/-. Non adjustment of the excess amount of electricity duty realised from the petitioner in the bill dated 2.11.2013 has given cause to the petitioner to come to this Court. The respondents have also disconnected the electricity supply of the petitioner on 23.11.2013 due to non payment of bill dated 2.11.2013.

The amount of electricity duty to the tune of Rs. 66,81,010/- has already been realised by the respondents for which amount, the petitioner has been already held to be entitled to be exempted since no electricity duty was payable from 9.10.2011. The said amount of Rs. 66,81,010/- had been realised by the respondents for which there was no liability of the petitioner, which amount is being enjoyed by the respondents and the petitioner's claim for adjustment of the said amount having also been accepted, we do not find any good reason for not adjusting the said amount in the bill dated 2.11.2013. The bill dated 2.11.2013 is for amount of Rs. 52,93,258.00 and much more amount has already been realised from the petitioner. The respondents ought to have adjusted the said amount in the bill dated 2.11.2013, which amount is already laying with the respondents. It is further to be noted that the petitioner has already represented to the respondents that the petitioner has suffered a heavy loss approximately of Rs. 2.5 crores in the year 2012-13 and the company was not in position to deposit the bill of October, 2013. When the amount of Rs. 66,81,010/- was laying with the respondents non adjustment of the said amount in the bill dated 2.11.2013 is arbitrary and unjust. Sri. Nripendra Misra has placed reliance on clause 6.12 of the Electricity Supply Code 2005 which is to the following effect.

"6.12 (1) Application of the Amount Received

In case of bill payment by the consumer, adjustments shall be made in the following order of priority:-

(a) Arrear

(b) Current charges

(c) Miscellaneous charges

Electricity Charges including Electricity Duty and Late Payment Surcharge shall be adjusted in proportion of their total amount of arrear as well as current charges."

Sri. B.C. Rai, learned Counsel for the petitioner has rightly pointed out that said clause is applicable in case of bill payment by the consumer. The present is not a case where adjustment is being made against the bill payment by the consumer rather the petitioner is praying for adjustment against the amount of electricity duty already realised from the petitioner. We are clearly of the view that the petitioner was entitled for adjustment of electricity duty already realised from the petitioner against the bill dated 2.11.2013 and non adjustment of the said amount and further disconnection of the petitioner electricity supply due to non payment of bill dated 2.11.2013 is unsustainable.

In the result, the writ petition is allowed. The respondent no. 3 is directed to adjust the bill dated 2.11.2013 as against the electricity duty already realised from the petitioner. The balance amount of electricity duty already realised shall also to be adjusted in the future bills. The respondents are directed to restore the electricity connection of the petitioner within three days from the date of production of a certified copy of the order.

The parties shall bear their own costs.

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